

BMS

Business Management School

Executive Certificate in Management (ECM) - Batch 22

ECM 101: Principles of Management

Written Assignment: Management and Leadership

Management and Leadership Practices in the Modern Organisations

A Case Study of Alan Mulally and the Ford Motor Company

Student Name	: Mohamed Abkam
Student ID	: [Your student ID]
Batch	: ECM B22
Module	: ECM 101: Principles of Management
Module Leader	: Ms. Thisuri Perera
Submission Date	: 11/10/2026
Word Count	: 2,161 (excluding cover page, contents and references)

Table of Contents

1.0 Introduction.....	3
2.0 Literature Review and Analysis.....	3
2.1 Introduction to Management and Leadership.....	3
2.2 Functions of Management.....	4
2.3 Management Theories.....	4
2.4 Leadership Theories.....	5
2.5 Management Skills.....	6
2.6 Leadership Skills.....	6
2.7 Leadership Styles.....	7
3.0 Conclusion.....	8
4.0 Reference List.....	9

1.0 Introduction

Robbins and Coulter (2021) describe management as the process of planning, organising, leading and controlling resources so that organisational goals are reached efficiently and effectively. Leadership is a different thing: Northouse (2021) calls it a process in which one person influences a group of people towards a shared goal. Both matter more now, because firms face global competition and fast technological change. Kotter (1990) argues that management brings order and consistency while leadership brings direction and change, and that a firm needs both to survive. Goleman (2000) found that a leader's style shapes team climate, which is linked to financial results. When management and leadership are weak, the usual outcome is poor decisions, low morale and high staff turnover (Northouse, 2021). I am writing this article for young entrepreneurs and professional managers who want to see how textbook theory holds up in a real business. The case is Ford Motor Company under Alan Mulally, its CEO from 2006 to 2014. The article reviews definitions, functions, theories, skills and styles, applies each to Ford, and then draws conclusions.

2.0 Literature Review and Analysis

2.1 Introduction to Management and Leadership

Fayol (1949) saw management as five activities: forecasting and planning, organising, commanding, coordinating and controlling. Koontz and Weihrich (2010) take a more people-centred view and define it as designing and maintaining an environment in which individuals, working together in groups, efficiently accomplish selected aims. For leadership, Yukl (2013) describes the process of influencing others to understand and agree on what needs to be done, and helping them work together to do it. Robbins and Judge (2019) put it more simply as the ability to influence a group towards a vision or a set of goals.

Many writers treat managers and leaders as different people. Zaleznik (1977) claims that managers value stability and control, while leaders are comfortable with uncertainty and look for change. Bennis and Nanus (1985) sum it up by saying that managers do things right, while leaders do the right thing. The split can be pushed too far. Mintzberg (2009) warns that managers who do not lead become uninspiring, and leaders who do not manage lose touch with how work actually gets done. Mulally fits Mintzberg's view better. His

weekly data reviews were a management tool and his One Ford vision was leadership, and each supported the other.

2.2 Functions of Management

Robbins and Coulter (2021) identify four functions of management, each visible at Ford.

Planning means defining goals, setting strategies and developing plans to coordinate activities (Robbins and Coulter, 2021). Application at Ford: Mulally wrote the One Ford plan and, in late 2006, arranged a loan of about \$23.6 billion, pledging nearly all of Ford's assets, including the blue oval logo, as security. That money paid for new models and kept Ford out of the 2009 government bailout (Hoffman, 2012).

Organising means deciding what tasks need to be done, who does them and how they are grouped (Robbins and Coulter, 2021). Application at Ford: Mulally sold Aston Martin, Jaguar, Land Rover and Volvo, and closed Mercury. Regional units that had designed their own cars became one global team working on shared platforms such as the Focus (Hoffman, 2012).

Leading involves motivating employees, directing their work and resolving conflict (Robbins and Coulter, 2021). Application at Ford: Mulally printed the One Ford plan and its expected behaviours on wallet cards and handed them out to staff. He then praised people in public when they acted in that way (Hoffman, 2012).

Controlling means monitoring performance, comparing it with goals and correcting it where needed (Robbins and Coulter, 2021). Application at Ford: in weekly Business Plan Review (BPR) meetings every executive rated their projects green, yellow or red. Ford lost \$12.7 billion in 2006, yet for weeks every chart was green. When Mark Fields finally showed a red rating for a delay on the Ford Edge launch, Mulally clapped. Soon the charts began to show the real picture (Hoffman, 2012).

2.3 Management Theories

Classical management theory treats management as a set of universal principles that make an organisation efficient through formal structure, division of work and clear lines of authority (Robbins and Coulter, 2021). Fayol (1949) proposed fourteen principles, including unity of direction, the scalar chain and esprit de corps. Application at Ford: Mulally replaced competing regional plans with one global plan, which is unity of direction in its plainest form. The BPR meeting was a fixed reporting chain to the CEO, and the One

Ford slogan aimed at esprit de corps. The weakness of the classical approach is that it treats organisations like machines and ignores how people feel (Robbins and Coulter, 2021).

Human relations theory sees the organisation as a social system and argues that productivity depends heavily on workers' attitudes, group relationships and the attention they receive from managers (Mayo, 1933; Robbins and Coulter, 2021). His Hawthorne studies found these social factors mattered more than lighting or rest breaks. Application at Ford: Mulally listened to employees, recognised their work and asked managers how he could help instead of blaming them for mistakes. People felt safe to admit problems, as the Edge example shows. Satisfied workers are not always more productive (Robbins and Coulter, 2021), but at Ford the better culture came with a \$2.7 billion profit in 2009 (Hoffman, 2012).

2.4 Leadership Theories

Transformational leadership is a process in which leaders and followers raise one another to higher levels of motivation and morality (Burns, 1978). Bass and Riggio (2006) describe four components: idealised influence, inspirational motivation, intellectual stimulation and individualised consideration. Application to Alan Mulally: he showed idealised influence by being honest about Ford's position, inspirational motivation through the One Ford vision, intellectual stimulation by asking executives to propose their own fixes in BPR meetings, and individualised consideration by coaching executives one to one. Managers who had spent years defending their own regions began working for the whole company, which supports Bass and Riggio's (2006) claim that such leaders build commitment rewards alone cannot buy.

Transactional leadership is based on an exchange: the leader sets clear targets, rewards people who meet them and steps in when they are missed (Burns, 1978; Bass, 1985). Application to Alan Mulally: the BPR was active management by exception. Every executive's numbers were checked against the plan each week, and any red item went to a separate Special Attention Review until it was fixed. Mulally was also clear that executives who would not follow the process could leave (Hoffman, 2012). On its own, transactional leadership produces compliance rather than commitment (Northouse, 2021). Bass (1985) argues that the best leaders use both, and Mulally did: the vision gave people a reason to change, and the weekly checks made sure they did.

2.5 Management Skills

Katz (1955) identified three types of skill that every manager needs: technical, human and conceptual.

Technical skills are the knowledge and ability to carry out specialised tasks using particular methods and tools (Katz, 1955). Application to Alan Mulally: he was an engineer who spent 37 years at Boeing and led development of the 777 aircraft. He brought Boeing's lean production methods to Ford's vehicle programmes (Hoffman, 2012).

Human skills are the ability to work well with other people, both one to one and in groups (Katz, 1955). Application to Alan Mulally: he greeted staff by name and ate in the employee cafeteria, so people who had feared senior managers began to trust him.

Conceptual skills are the ability to see the organisation as a whole and understand how its parts depend on each other (Katz, 1955). Application to Alan Mulally: he saw that Ford had too many brands competing for the same limited money, and that a smaller range built on global platforms would cut costs and raise quality. Katz (1955) notes that conceptual skill matters more the higher a manager rises, which fits a chief executive's role.

2.6 Leadership Skills

Trait theory holds that effective leaders share certain personal qualities that set them apart from non-leaders (Stogdill, 1974). Northouse (2021) lists five major traits: intelligence, self-confidence, determination, integrity and sociability. Four are applied to Mulally below.

Self-confidence is a person's certainty about their own ability and skills (Northouse, 2021). Application to Alan Mulally: he arrived from the aircraft industry with no car industry experience, yet he was willing to pledge almost all of Ford's assets on his plan. In 2008, when General Motors and Chrysler took government money, he told the US Congress that Ford could manage without it (Hoffman, 2012).

Determination is the desire to get the job done, shown through initiative, persistence and drive (Northouse, 2021). Application to Alan Mulally: he held the BPR meeting every Thursday, kept the same rules each week and did not drop the plan when car sales collapsed in 2008.

Integrity means being honest and trustworthy, so that words and actions match (Kirkpatrick and Locke, 1991). Application to Alan Mulally: he insisted on accurate data, saying that

'you can't manage a secret' (Hoffman, 2012). Because he praised honest reports, people believed him.

Sociability is a leader's tendency to seek out pleasant social relationships and to be friendly, outgoing and tactful (Northouse, 2021). Application to Alan Mulally: his office walkabouts and public praise made a large company feel more personal. Trait theory cannot explain why the same traits work in one situation and fail in another (Northouse, 2021), but these traits help explain why staff accepted such a large change.

2.7 Leadership Styles

Lewin, Lippitt and White (1939) compared groups led in autocratic, democratic and laissez-faire ways. The first two are discussed here.

Autocratic leadership is a style in which the leader keeps decision-making power, tells followers what to do and allows little or no input from them (Lewin, Lippitt and White, 1939). Its features are centralised decisions, one-way communication and close supervision. Application to Alan Mulally: this was not his normal style, but he used it at times. The 2006 borrowing and the brand sales were his decisions, and the BPR rules were not open to debate. Ford before Mulally was far more autocratic, and managers hid bad news from their bosses (Hoffman, 2012).

The autocratic style has three main advantages. First, decisions are fast, which matters in a crisis where delay costs money; Goleman (2000) found that a commanding style can work in a turnaround. Second, roles are clear, so inexperienced staff know what is expected. Third, it gives tight control, which helps in routine or safety-critical work. It also has three disadvantages. First, it tends to lower morale and creativity, and Lewin, Lippitt and White (1939) saw more hostility in autocratic groups. Second, followers become dependent, and in the same study work slowed when the leader left the room. Third, fear stops people reporting problems, as Ford's all-green charts in 2006 show.

Democratic leadership is a style in which the leader shares decision-making with the group, encourages discussion and offers guidance rather than orders, while still making the final call (Lewin, Lippitt and White, 1939; Robbins and Judge, 2019). Its features are participation, two-way communication and shared responsibility. Application to Alan Mulally: in BPR meetings every executive presented, raised concerns and proposed solutions, and colleagues offered help on each other's red items.

The democratic style also has three advantages. First, people who help make a decision are more committed to it; Lewin, Lippitt and White (1939) found higher satisfaction in democratic groups. Second, decisions are often better because more knowledge is used; the Edge problem was solved within days once other executives offered their engineers. Third, it develops future leaders; Mark Fields, who first showed a red chart, succeeded Mulally as CEO in 2014. It has three disadvantages too. First, consulting people takes time, which a firm near collapse may not have. Second, if the leader asks for views and ignores them, staff become cynical. Third, it needs skilled, willing followers, and Ford's executives needed months of coaching before they spoke openly.

Mulally's style was mainly democratic, held together by a clear vision. This matches Goleman's (2000) visionary style, where the leader sets the destination and lets people choose the route. The benefits and limitations of his style are therefore largely those of the democratic style above, and he reduced its main weakness, slowness, by deciding alone when the company could not wait.

3.0 Conclusion

The Ford case shows that management and leadership are different but depend on each other, and all four management functions played a part in the recovery. Classical theory explains the structure Mulally imposed, and human relations theory explains why people began to trust it. Transformational leadership gave staff a reason to change, while transactional checks made sure the change happened. His skills and traits such as integrity helped him rebuild trust, and his style was mostly democratic, with autocratic control kept for urgent decisions. In my view, good management and leadership come down to balance. A vision is not enough without a system to track progress, and a system fails when people are too scared to tell the truth. Young entrepreneurs and managers should try to be both managers and leaders, and should build a workplace where people can raise problems without fear and are trusted to help fix them.

4.0 Reference List

- Bass, B.M. (1985) *Leadership and performance beyond expectations*. New York: Free Press.
- Bass, B.M. and Riggio, R.E. (2006) *Transformational leadership*. 2nd edn. Mahwah, NJ: Lawrence Erlbaum Associates.
- Bennis, W. and Nanus, B. (1985) *Leaders: the strategies for taking charge*. New York: Harper & Row.
- Burns, J.M. (1978) *Leadership*. New York: Harper & Row.
- Fayol, H. (1949) *General and industrial management*. Translated by C. Storrs. London: Pitman.
- Goleman, D. (2000) 'Leadership that gets results', *Harvard Business Review*, 78(2), pp. 78-90.
- Hoffman, B.G. (2012) *American icon: Alan Mulally and the fight to save Ford Motor Company*. New York: Crown Business.
- Katz, R.L. (1955) 'Skills of an effective administrator', *Harvard Business Review*, 33(1), pp. 33-42.
- Kirkpatrick, S.A. and Locke, E.A. (1991) 'Leadership: do traits matter?', *Academy of Management Executive*, 5(2), pp. 48-60.
- Koontz, H. and Weihrich, H. (2010) *Essentials of management: an international perspective*. 8th edn. New Delhi: Tata McGraw-Hill.
- Kotter, J.P. (1990) *A force for change: how leadership differs from management*. New York: Free Press.
- Lewin, K., Lippitt, R. and White, R.K. (1939) 'Patterns of aggressive behavior in experimentally created "social climates"', *Journal of Social Psychology*, 10(2), pp. 271-299.
- Mayo, E. (1933) *The human problems of an industrial civilization*. New York: Macmillan.
- Mintzberg, H. (2009) *Managing*. San Francisco, CA: Berrett-Koehler.

- Northouse, P.G. (2021) *Leadership: theory and practice*. 9th edn. Thousand Oaks, CA: SAGE Publications.
- Robbins, S.P. and Coulter, M. (2021) *Management*. 15th edn. Harlow: Pearson.
- Robbins, S.P. and Judge, T.A. (2019) *Organizational behavior*. 18th edn. Harlow: Pearson.
- Stogdill, R.M. (1974) *Handbook of leadership: a survey of theory and research*. New York: Free Press.
- Yukl, G. (2013) *Leadership in organizations*. 8th edn. Harlow: Pearson.
- Zaleznik, A. (1977) 'Managers and leaders: are they different?', *Harvard Business Review*, 55(3), pp. 67-78.